



- Therefore, the switch from old firms to new entrants becomes very difficult.
- It can be said that the higher the importance of brands while making the purchase decision and the more powerful the brands of established firms are, the lower would be the threat of new entrants.
- Pricing power with established firms would not allow new entrants to reduce profitability.

If brands are not very critical when making the purchase decision,



Even the existence of strong brands cannot stop the low-end entrants to the industry.